TENTATIVE RULINGS FOR DEPT. S36 [DATE]

BEFORE THE HONORABLE JOSEPH WIDMAN

PLEASE NOTE: There may be multiple tentative rulings so view the entire document.

ATTENTION: Commencing December 10, 2022, the Court will no longer regularly provide an official Court Reporter to transcribe proceedings in this Department. Parties who wish to have an official record of the proceedings in addition to a minute order must retain a private Certified Shorthand Reporter for the hearing and must submit a "Stipulation and Order For Appointment of Official Reporter Pro Tempore" to the court in the form found on the Court's website. If counsel are appearing for the hearing remotely, the Stipulation can be emailed to the Judicial Assistant for Department S-36 at kkosmatka@sb-court.org. The Court may sign the Order appointing the Certified Shorthand Reporter as the official Court Reporter Pro Tempore. Parties who do not retain a Certified Shorthand Reporter to be designated as an official Court Reporter Pro Tempore are deemed to have waived an official Court Reporter for the proceeding.

REFER TO THE GENERAL ORDERS AND FORMS POSTED ON THE COURT'S WEBSITE.

This Court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings are posted on the court's website after 3:00 p.m. the day before the hearing at Tentative Rulings | Superior Court of California | County of San Bernardino

You may appear by remote appearance at the hearing. (https://www.zoomgov.com/my/dept.s36)

You must appear at the hearing, unless ordered otherwise, prepared to address the issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF RULING

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF SAN BERNARDINO

JEFFREY CHEN, et al., Plaintiffs, v. DENNIS DWIGHT ROLLINS, et al., Defendants.	Case No.: CIVSB2400039 **[TENTATIVE] ORDER (1) CONTINUING HEARING ON MOTION FOR SUMMARY JUDGMENT AND SETTING BRIEFING SCHEDULE; (2) CONTINUING TRIAL**

I. INTRODUCTION

This is a vehicle accident litigation. On August 5, 2022, Plaintiffs Jeffrey Chen, Mengmeng Catherine Han, and Han Hun Joyce Chiu filed their Complaint against Defendants Dennis Dwight Rollins and PV Holding Corporation. The Complaint pleads 2 causes of action: (1) negligence against both, and (2) violation of Vehicle Code section 22350 (excessive speeding) against Rollins. Defendants Rollins and PV Holding answered.

The Complaint alleges that Chen was driving northbound, with Han and Chiu as passengers, on the I-15 north of Hodge Rd, Barstow, when he was rear-ended by Rollins, which led to a 3-vehicle chain collision. Rollins failed to notice that the traffic was coming to a stop. The 2020 Ford Mustang driven by Rollins is owned by PV Holding (¶¶ 6-10).

Defendant PV Holding moves for summary judgment. Plaintiffs Chen, Han, Chiu oppose. Defendant PV Holding replies. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.[1]

II. EXPLANATION OF RULING

Generally, courts are reluctant to consider summary judgment/adjudication motions until a reasonable opportunity is provided to the opposing party to gather the necessary evidence to oppose the motion. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843; *Martine v. Heavenly Valley Limited Partnership* (2018) 27 Cal.App.5th 715, 721; *Dee v. Vintage Petroleum, Inc.* (2003) 106 Cal.App.4th 30, 34-35.) Code of Civil Procedure section 437c, subdivision (h), provides "[i]f it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other orders as may be just."

To obtain the continuance, the party's supporting declaration must show (i) facts establishing a likelihood that controverting evidence may exist and why the information sought is essential to opposing the MSJ, (ii) the specific reasons why the evidence cannot be presently presented, (iii) an estimate of the time to obtain such evidence, and (iv) the specific steps or procedures the opposing party intends to obtain the evidence. (*501 East 51st Street, etc. v. Kookmin Best Ins. Co., Ltd.* (2020) 47 Cal.App.5th 924, 939.) If this requisite showing is made,

[1] The Court finds that the moving party has complied with its meet-and-confer obligation.

then the continuance is virtually mandated. (*Insalaco v. Hope Lutheran Church of West Contra Costa* (2020) 49 Cal.App.5th 506, 517.)

Here, Plaintiffs ask that the motion be denied, or alternatively, continued for 30 to 45 days because they have been unable to obtain essential information through deposing Defendants Rollins and PV Holding's Person Most Knowledgeable (PMK). Although Rollins deposition was set for April 10, 2026, he was a no-show. His counsel was unable to get a hold of him to secure his appearance. (Bates Decl. at ¶¶ 3-5, 9.) Similarly, PV Holding's PMK's deposition was set for April 15, 2026, which was scheduled after meeting and conferring since November 2025. However, the PMK's deposition was subsequently canceled with no new dates yet provided. (Bates Decl. at ¶¶ 6, 10.) The PMK's deposition is essential to gather evidence on the process used to rent a car to a driver, the process to determine Rollins' eligibility to drive, maintenance records, identify who interacted with Rollins, and if internal investigations were done on the accident. (Bates Decl. at ¶ 8.)

In response to this argument, alleging withholding of key witnesses, the defense does not dispute the allegation but instead identifies "uncooperative clients" as the source of the withholding. (Reply Brief filed 5/11/2026) at page 1, line 27.)

The Court concludes that the Plaintiff should have more time to obtain evidence that appears relevant to defending this motion. In particular, the Plaintiff should have an opportunity to depose PV Holding's PMK.

Given the circumstances presented here, including a trial date about one month away for a case filed in August 2022, the Court is ordering a continuance of the summary judgment motion hearing and the trial, but is ordering as brief a continuance as is practical. Also, the Court is warning the defense that if its client continues to be uncooperative with the discovery process, the Court may exercise discretion at the continued hearing to simply deny summary judgment. The Court is further warning the parties that, in light of the five year deadline set forth in Code of Civil Procedure, § 583.310, the newly-continued trial date is firm and will not be continued.

The Court also provides the following guidance to the parties about the proper scope of briefing on the MSJ: The MSJ argues that PV Holding cannot be vicariously liable for Rollins' driving, or directly liable under theories of negligent entrustment, negligent maintenance, or as owner. However, the Complaint's sole allegations against PV Holding is that it owned the vehicle driven by Rollins (¶¶ 9, 15). The Complaint does not plead any liability against PV Holdings as employer/principal of Rollins, for entrusting the vehicle to Rollins, or for not maintaining the vehicle. So discovery, arguments, and analysis on vicarious liability, negligent entrustment, and negligent maintenance are superfluous and will not be considered.

III. <u>CONCLUSION</u>

A. Summary Judgment Motion

1. The Court is CONTINUING the motion hearing on Defendant PV Holding's Motion for Summary Judgment to July 22, 2026 at 9:00 a.m.;

2. Supplemental Briefing Schedule

   a. No later than **July 1, 2026**, Plaintiff shall file and serve any **supplemental opposition** addressing the MSJ on its merits;

   b. No later than **July 8, 2026**, Defendant PV Holding shall file and serve any **supplemental reply** in response to the supplemental opposition.

3. **Scope of Summary Judgment Motion**: The scope of the MSJ is limited to the sole negligence theory pled in the Complaint against PV Holding, *i.e.*, its liability as owner of the 2020 Ford Mustang, as outlined in Vehicle Code sections 17150 and 17151.

B. Trial Continuance

a. The Trial Readiness Conference is CONTINUED from June 18, 2026 to **January 7, 2027 at 9:00 a.m.**;

b. Trial in this matter is CONTINUED from June 22, 2026 to **January 11, 2027 at 10:00 a.m.**;

c. The parties are reminded that compliance with the Trial Setting Order issued January 6, 2025 is mandatory and failure to comply with it may result in sanctions.

IT IS SO ORDERED.

Dated: ________________

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF SAN BERNARDINO

MODERN ADJUSTMENT BUREAU, Plaintiff, v. ILEIA NASH aka ILEIA WESTINA NASH; and DOES 1 through 10, inclusive., Defendants.	Case No.: CIVDS1505190 **[TENTATIVE] ORDER DENYING MOTION TO SET ASIDE DEFAULT AND DEFAULT JUDGMENT**

IV. INTRODUCTION

Currently before this Court is a motion by Defendant Ileia Nash seeking to set aside a default and default judgment.

This action was commenced on April 9, 2015, by Plaintiff Modern Adjustment Bureau ("Plaintiff" or "Modern") asserting that prior to the commencement of this action, for valuable consideration, Michael Feiz Medical Corporation assigned to this Plaintiff for collection, all rights, title and interest in and to the within claim, and the Plaintiff is the lawful owner and holder thereof. The complaint stated that on or about September 16, 2013, Defendant became indebted to Plaintiff's assignor on an open book account for medical services in the sum of $18,384.00. The Complaint alleged further that although payment has been demanded, it has not been paid. Causes of action were asserted for: (1) open book account; (2) account stated. A verification was attached from John Hicks, secretary-treasurer of Modern, stating that the debt has not been charged off and Plaintiff's assignor maintains an equitable interest in this lawsuit.

A proof of service of the summons and complaint was filed on October 6, 2015, stating that Defendant Ileia Nash aka Ilea Westina Nash ("Nash"), a Hispanic female of 33 years old, black hair and 5'5 inches 140 pounds, was served at 25004 Camino Del Norte, Barstow California by Steve Wierzbinski, a registered California process server.

On December 9, 2015, a request for entry of default was entered by the clerk and a dismissal was filed as to the DOES. The assignment was also included in the declaration re-entry of judgment.

On November 14, 2022, an application for and renewal of judgment was entered. An amended judgment was entered on November 10, 2022. A notice of renewal of judgment was also filed on March 29, 2023.

On May 23, 2025, a writ return supplement, was filed by Modern Adjustments, reporting some garnishees and stating the judgment deficit was still $31,659.23.

On December 19, 2025, a notice of hearing on claim of exemption set for January 22, 2026 was filed. At the hearing, Defendant Nash appeared *pro se* and her application was granted in part by this Court. The Minute Order stated that Los Angeles County levying officer was directed to release any earnings to the judgment creditor. The wage garnishment was lowered to $100 per pay period not to exceed $200 monthly until paid in full. (See January 22, 2026 Minute Order.)

On February 4, 2026, in *pro per* Defendant moved to set aside the judgment. After opposition on March 5, 2026, the Court noted in its decision on March 5, 2026, Defendant was withdrawing her motion. The Notice of ruling read: "The Court indicated that such a notice was not presently filed with the Court. The Court ruled that either the motion to vacate was withdrawn, and in the event that Defendant did not file such withdrawal, it was denied in its entirety." (See Notice of Ruling filed March 5, 2026.) On March 23, 2026, the proof of service for the notice of March 5, 2026 hearing was filed.

Thereafter on May 8, 2026, Defendant, still in *pro per*, filed this present motion to set aside her default and the default judgment. While filed on May 8, 2026, the proof of service states this motion was served on April 29, 2026. On May 1, 2026, Plaintiff Modern filed an opposition. After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.[2]

V. APPLICABLE LAW

Code of Civil Procedure § 473, entitled Amendment of Pleadings, states in pertinent part:

> …
>
> (b) The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.…No affidavit or declaration of merits shall be required of the moving party. Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect. The

[2] The Court finds that the moving party has complied with its meet-and-confer obligation.

> court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties.

"When relief under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted." (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 981–82.)

Code Civ. Proc., § 473.5, entitled Relief from Judgment Where Summons Does Not Result in Actual Notice, states:

> (a) When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered.
>
> (b) A notice of motion to set aside a default or default judgment and for leave to defend the action shall designate as the time for making the motion a date prescribed by subdivision (b) of Section 1005, and it shall be accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect. The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action.
>
> (c) Upon a finding by the court that the motion was made within the period permitted by subdivision (a) and that his or her lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect, it may set aside the default or default judgment on whatever terms as may be just and allow the party to defend the action.

VI. <u>WHY THE MOTION SHOULD BE DENIED</u>

A. The Original Judgment

1. <u>Code Civ. Proc., § 1788.61</u>

Code Civ. Proc., § 1788.61, states in pertinent part, as follows:

> (a)(1) Notwithstanding Section 473.5 of the Code of Civil Procedure, if service of a summons has not resulted in actual notice to a person in time to defend an action brought by a debt buyer and a default or default judgment has been entered against the person in the action, the person may serve and file a notice of motion

> and motion to set aside the default or default judgment and for leave to defend the action.
>
> (2) Except as provided in paragraph (3), the notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of:
>
> (A) Six years after entry of the default or default judgment against the person.
>
> (B) One hundred eighty days of the first actual notice of the action.

Generally, the law strongly favors trial and disposition on the merits, so any doubts about setting aside a default must be resolved in favor of the party seeking such relief. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.) When the defaulting party moves promptly to seek relief and the opponent to such request has or will suffer little prejudice, very slight evidence is required to justify setting aside a default. (*Ibid.*; *Shamblin v. Brattain* (1988) 44 Cal.3d 474, 478.)

Under section 1788.61, subdivision (a)(2)(A)-(B), the Motion must be brought the earlier of 6 years after entry of the default or default judgment against the person or one hundred eighty days after Defendant's first actual notice of the action. Defendant was garnished in 2024. She cannot meet this timeline and admits in the proposed answer that she learned of this lawsuit on May 5, 2024. Given that this motion is filed in April or May 2026, this motion is untimely under § 1788.61.

2. Code of Civil Procedure § 473.5

Relief is available under Code Civ. Proc., § 473.5 for "lack of actual notice." This section is designed to provide relief where there has been proper service of the summons, but the defendant nevertheless did not find out about the action in time to defend. (WEIL & BROWN, CALIFORNIA PRACTICE GUIDE: CIVIL PROCEDURE BEFORE TRIAL [The Rutter Group] ¶ 5:420.) "Discretionary relief based upon a lack of actual notice under section 473.5 empowers a court to grant relief where a valid service of summons has not resulted in actual notice to a party in time to defend the action." (*Anastos v. Lee* (2004) 118 Cal.App.4th 1314, 1318 [emphasis added].) While the six-month time limit imposed on a motion for discretionary relief under Code Civ. Proc., § 473, subd. (b), is imposed from the entry of the clerk's default, Code Civ. Proc., § 473.5 two-year period is measured from entry of the judgment. (WEIL & BROWN, CALIFORNIA PRACTICE GUIDE: CIVIL PROCEDURE BEFORE TRIAL [The Rutter Group] ¶ 5:429.)

"Thus, a party can make a motion showing a lack of actual notice not caused by avoidance of service or inexcusable neglect, but such motion must be made no later than two years after entry of judgment, and the party must act with diligence upon learning of the judgment. (Code Civ. Proc., § 473.5; *see* Younger, *California Motions* (2009–2010 ed.) § 26:30, p. 766 ['it does not require a showing that plaintiff did anything improper.... [T]he defaulting defendant simply asserts that he or she did not have actual notice']; [Citation]." (*Trackman v. Kenney* (2010) 187 Cal.App.4th 175, 180.) "A party seeking relief under section 473.5 must provide an affidavit showing under oath that his or her lack of actual notice in time to defend was not caused by inexcusable neglect or avoidance of service. (*Tunis v. Barrow, supra*, 184 Cal.App.3d at pp. 1077–78, 229 Cal.Rptr. 389; § 473.5 subd. (b).)" (*Anastos v. Lee, supra*, 118 Cal.App.4th at p. 1319.) The Judicial Council Comments, Editor's Note, 2022 states:

> Section 473.5 permits the court to set aside a default or default judgment against a defendant, or in appropriate cases a third-party defendant, and allow him to defend the action on its merits. At least four facts must be shown by such defendant in his motion: (1) He received, through no inexcusable fault of his own, no actual notice of the action in time to appear and defend, and had not made a general appearance in the action. (2) A default judgment had been entered against him by the court. (3) He acted with reasonable diligence in serving and filing the notice of motion to set aside the default or default judgment (and in no event was the notice of motion served and filed later than the earlier of (a) two years after the entry of a default judgment against him or (b) 180 days after service on him of written notice of the default or the default judgment). (4) That he has a meritorious defense. (Subdivisions (a) and (b).)

In this case, Defendant admits to owing the debt. (See Defendant's Declaration in support of the answer dated March 3, 2026.) Additionally, she does not dispute she was properly served in 2015 and lived at the address whereby she was served by the registered process server. Therefore, this Court properly entered the default judgment.

It is Plaintiff's burden to prove by preponderance of the evidence the validity of the service and the court's jurisdiction over the defendant by proving the facts requisite to an effective service. (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413; *Bolkiah v. Superior Court* (1999) 74 Cal.App.4th 984, 991.) A rebuttable presumption exists as to the facts stated in the return when service is completed by a registered process server. Evidence Code § 647 ("The return of a process server registered pursuant to Chapter 16 (commencing with Section 22350) of Division 8 of the Business and Professions Code upon process or notice establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return."); *Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1441-42.) Plaintiff submitted a declaration of personal service, filed October 6, 2015 by Steve Wierzbinski, a registered process server. "Defendant declared that he was not served…the trial court was not required to accept this self-serving evidence contradicting the process server's declaration…" (*American Express Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 390.)

B. Renewal of Judgment

CCP § 683.170, subdivision (a), provides that "[t]he renewal of a judgment pursuant to this article may be vacated on any ground that would be a defense to an action on the judgment." As explained in *Goldman v. Simpson, supra,* 160 Cal.App.4th at 260–62, 364:

> The statutory renewal of judgment is an automatic, ministerial act accomplished by the clerk of the court; entry of the renewal of judgment does not constitute a new or separate judgment. . . . [R]enewal does not create a new judgment or modify the present judgment. Renewal merely extends the enforceability of the judgment." (*Jonathan Neil & Associates, Inc. v. Jones, supra*, 138 Cal.App.4th at p. 1489, fn. 1, 42 Cal.Rptr.3d 350.) "

A motion to vacate a renewal of judgment must be filed "[n]ot later than 60 days after service of the notice of renewal pursuant to Section 683.160…" (Code Civ. Proc., § 683.170, subd. (b).) A motion to vacate can be denied for untimeliness. (*Goldman v. Simpson* (2008) 160 Cal.App.4th 255, 261-64 [finding a motion to vacate renewal of judgment untimely where a judgment was renewed on September 21, 2006 but the motion to vacate renewal of the judgment was not made until April 10, 2007].)

This application is not timely. The judgment was renewed on March 29, 2023. While Defendant asserts she moved from 25004 to 25019 Camino Del Norte, in June 2016, and attaches a month-to-month rental agreement and a driver's license which shows the 25019 Camino Del Norte address since 2022, and claims she did not receive a copy of the renewal of the judgment, she filed this motion on May 8, 2026, over three years after the renewal judgment was entered. Defendant had also been garnished in the interim and admits to knowing about the proceeding on May 5, 2024, over two years after the renewal. Additionally, as explained above, the original judgment was proper; Defendant was personally served, by a registered process server at the address where she admitted she lived.

VII. CONCLUSION

Defendant's Motion to Set Aside the Defendant's Default and Default Judgment is respectfully DENIED.

IT IS SO ORDERED.

Dated: ________________

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF SAN BERNARDINO

JOYCE D. CRIST, Plaintiff, v. JG WENTWORTH HOME LENDING, LLC, et al., Defendants.	Case No.: CIVSB2502787 **[TENTATIVE] ORDER DENYING MOTION FOR PRELIMINARY INJUNCTION FILED BY PLAINTIFF JOYCE D. CRIST**

VIII. INTRODUCTION

A. The Pleadings and Allegations

Through her operative first amended complaint (FAC), which is the product of a prior unopposed demurrer, Plaintiff Joyce D. Crist contends that she had a $215,000 loan secured against her property in Big Bear City. The loan was with Defendant JG Wentworth Home Lending, LLC, which is now Defendant Van Buren Mortgage, LLC (Van Buren), which in turn was acquired by Defendant Freedom Mortgage Corp (Freedom). While the loan required Crist to obtain insurance, she had the option to do so personally and, as a result, there was no escrow.

Although the insurance later lapsed and while Freedom purchased and imposed the insurance through an escrow, Crist contends she later obtained her own insurance and closed the escrow account, but there were unapplied funds in the escrow. Freedom nevertheless purportedly continued to make the insurance payments and applied the escrow funds to the payment, creating a false impression that the loan was in default. Despite demands that Freedom correct the issue, it did not do so and began charging Crist late fees and then pursued foreclosure. (FAC at ¶¶ 1, 2, 4, 8, and 12-17.)

The FAC also outlines Crist's efforts to obtain a loan modification and indicates she was in active loan modification discussions and 30 days had not lapsed since Freedom sent a denial letter when Defendant Nester Solutions, LLC (Nester) conducted the foreclosure. (FAC at ¶¶ 19-33.) Furthermore, the foreclosure sale price was allegedly below 67% of the market value for the property and Nester received several notices of intent to bid on the property after the foreclosure. Overall, the FAC contains claims for (1) breach of contract, (2) breach of the implied covenant, (3) intentional misrepresentation, (4) negligent misrepresentation, (5) negligence, (6) violation of Civil Code section 2923.6, (7) violation of Civil Code section 2924f, (8) violation of 12 C.F.R. section 1024, et seq., and (9) declaratory relief.

B. The Requested TRO and Preliminary Injunction

On April 16, 2026, the Court granted Crist's *ex parte* application for a TRO to prevent the transfer of the property (since the sale is not yet complete). Crist then filed the pending motion for a preliminary injunction on April 28, again seeking an order prohibiting the transfer of the property on the grounds that the foreclosure was invalid, the sale violated the Homeowner Bill of Rights (HBOR), and in the absence of an injunction Crist will suffer irreparable harm. The motion also includes a fee request.

The motion is supported by a declaration from attorney Cameron Young, a declaration from Crist, the note and deed of trust, the notice of default and election to sell, the notice of trustee's sale, an appraisal report for the property, a loan modification application, a receipt for the application, subsequent correspondence, screen shots from Crist's online account, and the $10,000 bond posted by Crist.

Van Buren and Freedom opposed the motion on the grounds that Crist is asserting new claims in the motion, she has not demonstrated a reasonable probability of prevailing on her claims, Crist failed to join an indispensable party, the balance of equities does not favor Crist, and the fee request is premature. The opposition is supported by a declaration from Tanya Tarver (Freedom's VP of litigation), the note, the deed of trust, annual escrow statements, and correspondence and offers exchanged.

Crist has replied and submits her own supplemental declaration, insurance payments, a letter from Freedom showing the cancellation of the insurance it had obtained for Crist, an e-mail from the insurer (California Fair Plan) confirming the refund, and another declaration from Young.

After issuing a tentative ruling and holding a hearing on the motion, the Court now issues its final ruling.[3]

IX. APPLICABLE LAW

An injunction is proper when it appears the plaintiff is entitled to the relief demanded and that relief includes an injunction. (Code Civ. Proc., § 526, subd. (a)(1).) Code of Civil Procedure section 526, subdivision (a)(3), also allows for an injunction "[w]hen it appears, during the litigation, that a party to the action is doing, or threatens, or is about to do, or is procuring or

[3] The Court finds that the moving party has complied with its meet-and-confer obligation.

suffering to be done, some act in violation of the rights of another party to the action respecting the subject of the action, and tending to render the judgment ineffectual."

In deciding whether to issue a preliminary injunction the court must evaluate and balance two factors. Namely, the plaintiff's likelihood of prevailing on the merits and the interim harm that would result. (*White v. Davis* (2002) 98 Cal.App.4th 969, 981.) The greater the showing on one factor, the less that must be shown on the other. (*Butt v. State of Calif.* (1992) 4 Cal.4th 668, 678.) "The purpose of a preliminary injunction 'is to preserve the status quo until a final determination following a trial.' [Citation.] It 'does not constitute a final adjudication of the controversy.'" (*Ibid.*) "The law is well settled that the decision to grant a preliminary injunction rests in the sound discretion of the trial court." (*IT Corp. v. County of Imperial* (1983) 35 Cal.3d 63, 69.)

To establish a likelihood of prevailing on the merits, the moving party must present competent evidence to show a reasonable probability of succeeding on the merits. (*San Francisco Newspaper Printing Co. v. Sup. Ct.* (1985) 170 Cal.App.3d 438.) Supporting affidavits and declarations must state evidentiary facts. The burden is on the party seeking injunctive relief to show all elements necessary to support issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.)

X. EXPLANATION OF COURT'S RULING

A. The Likelihood of Success Prong

1. The Civil Code section 2923.6 Claim

Civil Code section 2923.6, subdivision (c), provides that:

> If a borrower submits a complete application for a first lien loan modification offered by, or through, the borrower's mortgage servicer at least five business days before a scheduled foreclosure sale, a mortgage servicer, mortgagee, trustee, beneficiary, or authorized agent shall not record a notice of default or notice of sale, or conduct a trustee's sale, while the complete first lien loan modification application is pending. A mortgage servicer, mortgagee, trustee, beneficiary, or

> authorized agent shall not record a notice of default or notice of sale or conduct a trustee's sale until any of the following occurs: (1) The mortgage servicer makes a written determination that the borrower is not eligible for a first lien loan modification, and any appeal period pursuant to subdivision (d) has expired. (2) The borrower does not accept an offered first lien loan modification within 14 days of the offer. (3) The borrower accepts a written first lien loan modification, but defaults on, or otherwise breaches the borrower's obligations under, the first lien loan modification.

Subdivision (d) of section 2923.6 then indicates that if the borrower's application for a first lien loan modification is denied, the borrower shall have at least 30 days from the date of the written denial to appeal the denial and provide evidence that the decision was in error. However, in "order to minimize the risk of borrowers submitting multiple applications for first lien loan modifications for the purpose of delay, the mortgage servicer shall not be obligated to evaluate applications from borrowers who have been evaluated or afforded a fair opportunity to be evaluated consistent with the requirements of this section, unless there has been a material change in the borrower's financial circumstances since the date of the borrower's previous application and that change is documented by the borrower and submitted to the mortgage servicer." (Civ. Code, § 2923.6, subd. (g).) An application is "deemed "complete" when a borrower has supplied the mortgage servicer with all documents required by the mortgage servicer within the reasonable timeframes specified by the mortgage servicer." (Civ. Code, § 2923.6, subd. (h).) Civil Code section 2924.12 also provides that when a trustee's deed upon sale has not been recorded, "a borrower may bring an action for injunctive relief to enjoin a material violation of Section … 2923.6…."

In this case, Crist contends her loan modification application was denied on February 4, 2026, via letter of the same date. While Crist concedes that a previous trial modification was provided, she argues it does not constitute a modification for purposes of section 2923.6 because the related correspondence makes clear that she was only afforded a trial modification, that if there was compliance during the trial period a separate loan modification agreement would be required, and that the unpaid late charges would not be waived until the formal modification. The foreclosure occurred on March 3, 2026, 27 days later. (Crist Decl. at ¶¶ 30-32; Ex.'s Q, R, S, and T.)

However, Crist provides no authority for the proposition a temporary period plan (TPP) cannot constitute an offer for a first lien modification. In the opposition, Defendants cite *Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal.App.4th 915, 926, for the proposition that a TPP letter constitutes a loan modification offer for purposes of HBOR, but that case did not involve HBOR or section 2923.6. Instead, the lawsuit involved the Home Affordable Mortgage Program or HAMP. Nevertheless, the case addressed TPP's in the context of a breach of contract cause of action and determined that a TPP constitutes a contract and that when the plaintiff has alleged compliance with all of the TPP terms, a valid claim for breach of contract exists when the lender fails to offer a permanent loan modification.

Here, the December 9, 2025 letter from Freedom to Crist expressly denied her certain foreclosure alternatives and indicated she had a right to appeal within 30 days. The letter then indicates Crist was eligible for a "FHLMC Flex Modification." The letter also clearly states that the document constitutes a TPP, an offer, and that if Crist completed the TPP by making the payments then Freedom would sign the loan modification agreement for a permanent modification. The letter further outlines the modification terms. (Crist Decl., Ex. Q.) Under the contract principles addressed in *Bushell*, the letter would qualify as a loan modification "offer" because if Crist performed its terms, as requested in the offer, a permanent modification would be granted. That same contractual analysis applies whether or not HAMP or HBOR is also at issue.

As a result, Defendants were unable to record a notice of default or notice of sale or conduct a trustee's sale until Crist failed to accept the offer within 14 days. The declaration from Tarver indicates Crist did not accept the December 9, 2025 loan modification offer and it subsequently sent her a letter noting her failure to accept. (Tarver Decl. at ¶¶ 11-12.)

In these circumstances, it appears that the TPP constituted an offer, there was no acceptance of the offer within the 14-day period, so the foreclosure could resume. The February 4, 2026 letter therefore merely advised Crist as much and did not constitute a rejection for purposes of section 2923.6. That is consistent with general contract principles, which indicate an offer is revoked by the lapse of a reasonable time without communication of the acceptance (Civ. Code, § 1587) except in this case the "reasonable time" is substituted by statute with the 14-day period. As a result, Crist has not shown a likelihood of success as to her sixth cause of action because the foreclosure was properly not pursued until after the 14-day period. And to the extent it is based upon the prior foreclosure sale efforts, those efforts never materialized with an actual sale.

2. Civil Code section 2924f Claim

Civil Code section 2924f, subdivision (f)(1), provides that "the mortgagee, beneficiary, or authorized agent shall provide to the trustee a fair market value of the property at least 10 days prior to the initially scheduled date of sale, and the trustee shall not sell the property at the first sale at which a bid can be made for less than 67 percent of that fair market value of the property. The trustee may rely on the fair market value provided pursuant to this paragraph, and shall not have a duty to verify the source or accuracy of the valuation." If the property remains unsold after the first sale, then the trustee shall postpone the sale for at least seven days and then the property may be sold to the highest bidder. A failure to comply, however, "shall not affect the validity of a trustee's sale or a sale to a bona fide purchaser for value." (Civ. Code, § 2924f, subd. (f)(2)-(4).)

In this case, Crist contends that the initial foreclosure sale was invalid as a violation of section 2923.6 and therefore the second sale was subject to section 2924f, but the bid which was accepted at the second sale was less than 67 percent of the fair market value of the property. The evidence indicates Nester accepted a bid of $317,000, but the value of the property was $1,085,000, which means the sale had to be postponed for at least seven days. Crist submits an appraisal to support her claim and states her "belief" that the property sold at the foreclosure for $317,500. (Crist Decl. at ¶¶ 5 and 31, Ex. E.)

In opposition, Defendants do not dispute that the property sold for less than 67 percent of its fair market value or that there was no postponement of the sale on March 3, 2026. Nor do Defendants dispute the factual assertions underlying Crist's contention that the attempted sale on October 28, 2025 should not count as the "initial" sale for purposes of section 2924f because Defendants lacked the ability to pursue the sale based on their violation of section 2923.6; the evidence suggests that Crist's loan modification application was under review at the time of the October 28, 2025 sale. (Crist Decl. at ¶¶ 20-27.)

But the defense argues that section 2924f does not apply after the sale has been postponed, *i.e.*, it does not merely apply to the "first scheduled sale date in which a bid of 67 percent was not achieved." (Opposition at 8:8.) This argument has intuitive appeal; after all, the only way that a trustee could know that a bid of 67% is not achieved is if a sale was actually attempted.

It is also notable that section 2924f allows the mortgagee to provide the trustee with the fair market value at least 10 days before the "initially scheduled date of sale," but the statute then prohibits the sale "at the first sale at which a bid can be made." In other words, the statute makes a distinction between the two types of sale dates. In this regard, a mere postponement does not take the subsequent sale out of the purview of section 2924f unless the initial sale was one at which a bid could be made. (California Bill Analysis, A.B. 2424 Assem., 6/24 in Senate/2024 ["If the first auction does not result in an eligible sale, the trustee must postpone the sale for at least seven days, and the property may then be sold to the highest bidder in the subsequent auction"].)

Defendants next indicate a sale on October 28, 2025 was attempted and the FAC concedes the sale was postponed because the highest bid was for less than the 67% threshold. (FAC at ¶ 27.) Thus, the March 2026 sale was not the initial sale for purposes of section 2924f and it did not need to be postponed again. Even if the attempted sale on October 28, 2025 violated section 2923.6, it was still a sale at which bids could be received. As section 2924f indicates, a failure to comply with the 10-day postponement due to low bids "shall not affect the validity of the trustee's sale or a sale to a bona fide purchaser for value." (Civ. Code § 2924f, subd. (f)(4).) There is also no apparent injunctive relief available if the sale is not postponed. (See Civ. Code § 2924.12 [providing for injunctive relief for various material violations of HBOR, but not referencing section 2924f].)

Furthermore, the stated purpose of the legislation was to prevent the significant loss of home equity because "foreclosure auctions do not attract the same level of interest from potential buyers as typical real estate transactions" (California Bill Analysis, A.B. 2424 Assem., 6/24 in Senate/2024), but the Legislature apparently believed, in enacting the changes to section 2924f, a short continuance would allow time to gain more interest in the property to increase the bid amount. That occurred in this case. The property was not sold initially due to the low bid received and the continuance therefore afforded more time for interested parties to participate considering the low bid amount and the higher purported fair market value. The mere fact that the initial attempted sale violated section 2923.6 does not mean the subsequent sale violated section 2924f as well.

Overall, while the at-issue portion of section 2924f is relatively new law, it appears Defendants have the better position regarding the merits of the claim.

3. <u>Crist's Other Causes of Action</u>

While the FAC contains several other causes of action, and while the motion factually references the alleged double payment on the insurance, etc., the only analysis and arguments advanced in the opening papers supporting the requested injunction are based upon Civil Code sections 2923.6 and 2924f, analyzed in the preceding subsections. (See Opening Brief at pp. 9-15.) The other causes of action are therefore not advanced in support of the injunction and cannot support Plaintiff's position on likelihood of success.

B. The Interim Harm Prong

1. <u>Risk of Harm to Plaintiff</u>

As for the interim harm prong, real property is deemed unique such that "injury or loss cannot be compensated in damages, and injunctive relief is therefore more readily granted." (Cal. Prac. Guide Civ. Pro. Before Trial Ch. 9(II)-A [citing Civ. C. § 3387—damages presumed inadequate for breach of agreement to convey real property; *Aspen Grove Condominium Ass'n v. CNL Income Northstar LLC* (2014) 231 Cal.App.4th 53, 62-64—invasion of plaintiff's land by continuous trespass of water warranted injunction regardless of damages].) But where real property is held for investment purposes, damages are more appropriately seen as an adequate remedy warranting denial of injunctive relief. (*Jessen v. Keystone Sav. & Loan Ass'n* (1983) 142 Cal.App.3d 454, 458 [refusing preliminary injunction to restrain foreclosure sale].)

At issue here are Crist's rights and interest in real property, which as noted are generally unique and supportive of injunctive relief. The evidence submitted also suggests the property is Crist's primary residence. (Crist, Ex. F [loan modification application].)

In the opposition, Defendants merely suggest that they would be harmed because Crist has not paid the debt owed and an element of an action to set aside a trustee's sale is the tender of the debt owed. However, the debt is purely monetary and any harm to Defendants can therefore be addressed via a bond. In this regard, and as between Crist and Defendants, the balancing of interests weighs in favor of an injunction.

2. Risk of Harm to *Bona Fide* Purchasers

Defendants also claim that the Court cannot possibly balance the interests correctly because Crist has failed to join indispensable parties, namely, the buyers at the foreclosure sale and the post-foreclosure "overbidders." Crist essentially seeks to set aside the foreclosure sale. "When a party seeks to set aside and vacate a trustee's sale in a foreclosure proceeding, there can be no doubt that the parties to the sale transaction are indispensable parties." (*Washington Mutual Bank v. Blechman* (2007) 157 Cal.App.4th 662, 668.) Although the trustee's deed upon sale was (apparently) not actually issued, there was nevertheless a "sale transaction" via the highest bid and therefore the successful bidder would be an indispensable party. (*See Lee v. Rich* (2016) 6 Cal.App.5th 270, 277—third party purchaser at execution sale was an indispensable party].)

While the injunction in this case would be directed at Defendants and prohibit their transfer of title pursuant to the foreclosure, the third-party purchaser would be directly affected by the order since that party would not receive title. Therefore, to the extent the purchaser should be added as a party, the Court should weigh the harm the injunction would cause to the purchaser in addressing the injunction. Without hearing from the purchaser, the Court cannot adequately balance the harms. But since Plaintiff has not established a likelihood of success on the merits, per Section III.A. above, and since the Court has sufficient information to assess the risk of harm to Plaintiff herself, the Court need not further pursue or address the joinder issue.

XI. CONCLUSION

4. Plaintiff's Motion for a Preliminary Injunction is respectfully DENIED.

5. The Temporary Restraining Order issued April 16, 2026 is DISSOLVED and shall have no further force or effect.

6. The $10,000 undertaking (bond) posted by Plaintiff shall remain in place for thirty (30) days from the date of this Order to allow Defendants to file any motion for damages sustained by reason of the Temporary Restraining Order. If no motion is filed within that period, the bond shall be EXONERATED without further order of the Court.

IT IS SO ORDERED.

Dated: ________________

[TENTATIVE – NOT FINAL]
Hon. Joseph B. Widman
Judge of the Superior Court